

Problem Statement — Client Onboarding & KYC Workflow Optimization

Our digital banking onboarding flow applies the same identity-verification rigor to every applicant regardless of actual risk profile. Internal funnel data (assumption, stated below) suggests a significant share of users abandon onboarding at the document-verification stage — the step with the heaviest friction — while the same uniform process still does not explicitly route Politically Exposed Persons (PEPs) or other high-risk applicants to enhanced scrutiny. The result is a process that simultaneously frustrates low-risk users into abandoning signup and under-protects the institution against the actual regulatory exposure that AML/KYC obligations exist to address.

Stated assumption (flagged, not a finding): for the purposes of this project, we assume a baseline drop-off of **~28% at the document-verification stage**, against a target reduction to **~18%** post risk-tiering. This number is a planning assumption used to size the business case in the BRD below — it is *not* a finding, since no real production funnel data exists for a portfolio project. It will not appear in the final case study as if it were measured; the case study's actual findings will instead come from the mock-dataset analysis on Day 4-5.

The core asks: Design a risk-based approach (RBA) that tiers applicants into Low / Medium / High risk — with PEP profiles automatically routed to Enhanced Due Diligence (EDD) — so that the majority of low-risk users move through a fast, low-friction path while the minority of high-risk users receive the scrutiny Compliance requires. This resolves the Product-vs-Compliance conflict by changing *who* gets friction, not *how much* friction exists system-wide.